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NetApp's five suppliers

Where each one stands in its latest filed year, the six places where NetApp's stated strategy and its suppliers' stated terms do not agree, and what their own published schedules land in 2027.

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Micron, SK Hynix, Samsung Electronics, Kioxia and Seagate. Evidence to 6 November 2026. Every figure traces to a filed document and every quote to a named quarter. Built from public filings. First-pass analysis to support your own review — not legal, investment or professional advice.

SEMITRICAL · SUPPLIER PICTURE · PREPARED FOR NETAPP

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Micron · SK Hynix · Samsung Electronics · Kioxia · Seagate | evidence to 6 November 2026

01 What this is

This is a picture of the five companies NetApp buys memory and drives from. Each files public accounts and holds public earnings calls, and this report reads them from the buyer's side of the table. **The analysis is on the latest filed year and the one before it** — 2025 for four of the five, 2026 for Seagate. Earlier years appear only where a single reference point is needed, and section 03 says where and why.

It is not a report about how NetApp is performing — that is already in NetApp's own filing and NetApp already knows it. What its filing does carry is NetApp's **stated strategy and capital position**, and section 02 quotes those so that section 05 can test the supplier picture against what NetApp has said it wants rather than against anything we assumed.

Four figures set the stakes:

$1.4bn Committed to suppliers off balance sheet at 24 Apr 2026, $1.1bn of it due in FY2027	**4 days** Purchased components held, against about $1.27bn of annual materials
86–136 Days of inventory the five suppliers were holding in their latest filed year	**5 of 5** Suppliers that have moved supply onto binding, multi-year, part-prepaid allocation

NetApp figures from its Form 10-K for the year ended 24 April 2026, filed 5 June 2026. Days of purchased components is our arithmetic: $14m of components inventory against materials cost of about $1.27bn, being the 91% of the $1,395m cost of Hybrid Cloud product revenues that NetApp attributes to materials. Supplier figures are from section 03.

The stock in this chain sits upstream and the commitments sit downstream. That is a defensible way to run a balance sheet, and it also means the five companies in section 03 are the ones whose position decides what a renewal costs.

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What this report will not do

- **It does not forecast a price.** Nothing here predicts DRAM, NAND or drive pricing for a future quarter. Section 06 is about 2027, and every row in it is a dated statement a named supplier made about its own plans — their calendar, not our projection.
- **It gives no single score.** There is no blended supplier rating, because a blended number hides which dimension moved and can come out flattering for every supplier at once. Each dimension is reported on its own.
- **It does not split any of these five into fixed and variable cost.** Our cost model is deliberately withheld for memory, and the reason is set out in section 05.
- **Where the filings will not carry an answer, it says so** rather than estimating one.

A note on what absence means. Where a figure is not shown for a supplier, that means it is not in the material we have read — not that the supplier does not report it. We never treat a gap in our own reading as a gap in a supplier's disclosure.

02 What NetApp has said it is trying to do

This section contains no analysis. It is NetApp's own stated strategy and its own capital position, quoted, because section 05 tests the supplier picture against these and not against anything we have assumed about what NetApp wants.

Multi-source where possible `Stated supply strategy`	"We rely on a limited number of suppliers for materials… **We strive to have multiple suppliers qualified to provide critical components where possible** and have our products manufactured in a number of locations to mitigate our supply chain risk. Our strategy has been to develop close relationships with our suppliers, maximizing the exchange of critical information…" `Form 10-K FY2026, Manufacturing and Supply Chain`
Stay asset-light `Stated manufacturing model`	"We use contract manufacturers for the production of major subassemblies and final system configuration. **This manufacturing strategy minimizes capital investments and overhead expenditures while creating flexibility for rapid expansion.**" `Form 10-K FY2026, Manufacturing and Supply Chain`
Protect gross margin `Named as a forward-looking objective`	"**our ability to maintain our gross margins, including managing component costs**" `Form 10-K FY2026, forward-looking statements`

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Run on short lead times Stated demand visibility	"Our business is characterized by seasonal and intra-quarter variability in demand, as well as **short lead times and product delivery schedules.** Accordingly, **backlog may vary materially quarter to quarter and at any given time may not be a meaningful indicator of future revenue.**" Form 10-K FY2026, Backlog
Return cash to shareholders Demonstrated use of capital	"On May 21, 2026 our Board of Directors authorized the repurchase of an additional **$1.0 billion** of our common stock." In fiscal 2026 NetApp used **$950 million** for share repurchases and **$413 million** for dividends, against **$198 million** of purchases of property and equipment. Form 10-K FY2026, Liquidity and Capital Resources

Two figures from the same filing set the price of capital for everything in section 05.

~3% Pre-tax return on cash: $113m of interest income on about $3.6bn of cash and short-term investments	**$1.0bn** Firm, non-cancelable, unconditional purchase commitments for inventory
$25m Liability recorded for commitments in excess of demand forecast — 2.5% of that $1.0bn	**2.9%** Capital expenditure as a share of revenue, which is what asset-light looks like

All five from the FY2026 Form 10-K. The return on cash is our arithmetic on two figures from it — interest income of $113m against the year-end cash and short-term investments balance of about $3.6bn — so it is approximate, and the true figure depends on the average balance through the year rather than the closing one. The $25m excess-commitment liability is quoted as reported at 24 April 2026.

03 What the five have in common, and where they part

As of their latest filed year, all five have moved supply onto binding, multi-year, part-prepaid allocation, and three of the five are earning the best gross margin in their own record. But only one of the five has a capital programme behind it.

That last clause is the whole report. The five look alike from the outside and their cost cases are not alike at all, and the difference is visible in filed figures they published themselves.

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SUPPLIER	LATEST FY	GROSS MARGIN	ITS OWN 6-YR LOW	ITS OWN 6-YR HIGH	OP MARGIN	I
Micron	2025	39.8%	-9.1% (2023)	45.2% (2022)	26.1%	1
SK Hynix	2025	60.4%	-1.6% (2023)	60.4% (2025)	48.6%	1
Samsung Electronics	2025	39.4%	30.3% (2023)	40.5% (2021)	13.1%	9
Kioxia	2025	43.3%	-12.0% (2023)	43.3% (2025)	37.2%	1
Seagate	2026	45.6%	18.3% (2023)	45.6% (2026)	33.6%	8

Latest filed fiscal year per supplier, set against that supplier's own six-year range. Gross margin, operating margin and reported as percentages, and inventory as days, so the Korean- and Japanese-reporting companies are comparable reporters with no exchange-rate assumption entering any figure. Inventory days are closing inventories over cost of r

- **Reinvestment separates them, but it does not settle anything on its own.** Micron is spending 42% of revenue on capital expenditure and SK Hynix 28%; Kioxia is at 12% against its own 40% in 2022, and Seagate at 4.7%. That is a real difference in where the cash is going, and **it raises the question rather than answering it** — capital spending is not cost, and the paragraph below says why. Section 04 gives each supplier its own baseline so the comparison is at least made against the right one.
- **Two of the five have conceded demand damage from their own prices.** SK Hynix and Kioxia each said so independently, on dated calls, about PC and mobile. That is the most useful material in the report and it came from the suppliers.
- **Why a 2023 figure appears in a 2026 report.** It is the only evidence that the current level is a recovery rather than a norm: Micron's gross margin was -9.1% that year, Kioxia's -12.0%, SK Hynix's -1.6%. **Without it, SK Hynix's 60.4% reads as a permanent state of affairs, which argues the supplier's case rather than the buyer's.** It earns one column and one line per supplier and nothing more; everything else in section 04 is the last two filed years.
- **What is not offered, and what is.** We do not reduce a supplier to a score or publish a direction of travel in its numbers, because a trend needs each period compressed to one comparable figure and that is the blended score this report refuses. **Section 06 is different in kind:** it assembles the suppliers' own dated statements about their own plans into one calendar. That is their schedule, not our projection.

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Why filed accounts cannot settle whether a price increase is justified

It is tempting to read heavy capital spending as a legitimate cost case and light spending as margin recovery. **That inference does not hold, and this report does not make it.**

- **Capital spending is not cost.** It never touches cost of goods sold; depreciation does, and it follows the spending by years. Micron's $15.9bn in fiscal 2025 raises its depreciation across the rest of the decade, not its cost this year — and Kioxia's 12% today sits alongside depreciation from the 40% it spent in 2022, which is still running through its accounts.
- **Light spending can mean the plant is already built.** The same low ratio supports the opposite conclusion depending on where a supplier is in its own build cycle.
- **Memory and drive prices are set by supply and demand, not by cost.** Micron's gross margin moved from -9.1% to 45.2% without its cost base moving anything like that far. For a commodity, "the market cleared here" is an honest answer rather than an evasion, and a buyer who insists on a cost justification may get a worse answer than one who negotiates on leverage.
- **Capital intensity tracks technology node and product mix.** NAND needs less capital per bit than leading-edge DRAM or HBM, so the ratios partly measure what a supplier makes rather than how it prices.
- **Rising gross margin does not prove price outran cost either.** It also results from better fixed-cost absorption at higher volume, which Micron's own commentary calls the primary lever on its margin. Separating the two needs bit shipments and average selling price. **We do not hold those, so we do not make the claim.**
- **Three of the five report in won or yen.** An increase quoted in dollars can be a flat price in a supplier's own currency.

What the filed accounts do establish, and what this report rests on instead: none of the five is loss-making, so any argument that an increase is needed for viability is contradicted by their own statements. Everything beyond that comes from what management has said about its own pricing — Seagate that it prices on value rather than cost, SK Hynix that customers are "prioritizing procurement over price" — which are admissions, not inferences of ours. The cost question itself is testable, and the test needs unit cost data only the supplier holds. **Section 05 asks for it rather than scoring them on capital spending.**

04 The five, one at a time

Each profile holds that supplier's six filed years and that supplier's own words together. Figures are from filed statements; quotes are verbatim from the quarter named beside them; and the line marked as our reading is labelled as ours rather than presented as part of the quote.

Micron Technology

DRAM and NAND · Reports in USD

The only published capital programme

Micron is the only one of the five **below its own peak gross margin while spending at a record**, and the only one that has published a forward capital programme. That does not make an increase justified — capital spending is not cost, as section 03 sets out — but it is the one supplier whose spending can be asked about with specifics, and **the programme is aimed at HBM and leading-edge DRAM**, a different product from the parts an enterprise storage line consumes.

FY	REVENUE	GROSS MARGIN	OP MARGIN	INV DAYS	CAPEX	CAPEX % REV
2024	25,111	22.4%	5.2%	166	8,386	33%
2025	37,378	39.8%	26.1%	136	15,857	42%
2023 TROUGH	15,540	-9.1%	-37.0%	181	7,676	49%

Micron Technology, the last two filed years, with 2023 shown for reference because it is the only evidence that the current level is a recovery rather than a norm. Dollars in millions. Fiscal year ends in the preceding August or September.

Its own range across all 6 filed years: gross margin **-9.1% (2023)** to **45.2% (2022)** · capital expenditure **33% (2024)** to **49% (2023)** of revenue.

WHAT ITS MANAGEMENT HAS SAID

> "We expect fiscal 2026 CapEx to be above $25,000,000,000... We project our fiscal 2027 CapEx to step up meaningfully to support HBM and DRAM-related investments. We expect construction-related CapEx to increase by over $10,000,000,000 year over year in fiscal 2027..."
>
> Micron Q2-26 earnings call

Against the $15,857m it actually spent in FY2025, the guided figure is a step up of roughly 60%. **That is a large commitment, and it reaches cost through depreciation over years rather than through this year's price.** It is also explicitly directed at HBM and leading-edge DRAM.

> "Those LTAs had no binding terms in them. It was more of a handshake, kind of an understanding with customers about ensuring that there is good level of supply chain planning that we do..."
>
> Micron Q3-26 earnings call

Micron is drawing its own line between the agreements it used to sign and the supply commitment agreements it signs now. **What is offered at renewal is a different instrument, not a renewal of the same one.**

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> “These SCAs are meant to achieve the objectives for the customers in terms of their ability to plan and be able to count on supply commitments that are in the agreements, but also for us to be able to count on specific commitments that are there from the customers.”
>
> Micron Q2-26 earnings call
>
> The obligation runs both ways. **A volume commitment a buyer cannot hit becomes the buyer's exposure.**

> “With all of the efforts that we are doing, we still don't have line of sight as to when the supply is going to be able to meet demand, because demand continues to escalate at a very rapid pace over time.”
>
> Micron Q3-26 earnings call

WHERE THE ARGUMENT IS

Not on capital spending, which is not cost. The argument is **which product the increase is priced for**. Micron has tied its programme to HBM and leading-edge DRAM; separate that from the parts actually being bought, and **ask for unit cost on the line being quoted** — cost per bit or per module, for the specific part, in the quarter cited. That is the only form of the cost question that can be answered.

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SK Hynix

DRAM and NAND | Ratios only — reports in KRW

Said its own prices are hurting demand

The most profitable of the five by a wide margin: a **60.4% gross margin and a 48.6% operating margin**, both its own six-year highs, recovered from an operating loss of -23.6% two years earlier. Capital spending at 28% of revenue sits in the middle of its own range, not at the top of it.

FY	GROSS MARGIN	OP MARGIN	INV DAYS	CAPEX % REV
2024	48.1%	35.5%	141	24%
2025	60.4%	48.6%	136	28%
2023 TROUGH	-1.6%	-23.6%	148	25%

SK Hynix, the last two filed years, with 2023 shown for reference because it is the only evidence that the current level is a recovery rather than a norm. Reported in Korean won, so shown as ratios and days only — no exchange-rate assumption enters any figure here.

Its own range across all 6 filed years: gross margin **-1.6% (2023)** to **60.4% (2025)** · capital expenditure **24% (2024)** to **43% (2022)** of revenue.

WHAT ITS MANAGEMENT HAS SAID

> "In the PC and mobile markets, some signs of demand softening have emerged, including adjustments in such shipments and changes in product portfolios due to cost pressures stemming from higher memory prices."
>
> SK Hynix Q1-26
>
> This is the most useful single sentence any of the five has said. **SK Hynix's own management has conceded that higher memory prices are destroying demand in two of its end markets.** The tight-supply account is not uniform across segments, and the supplier said it first.

> "To date, we have concluded LTA negotiations with around 10 customers, including our key customers… financial mechanisms such as deposits are incorporated to support contract fulfillment and enhance the visibility and reliability of customers' mid to long-term demand plans."
>
> SK Hynix Q2-26 earnings call
>
> About ten customers are inside the structure and a cash deposit is part of it. **Whether you are one of the ten decides whether this is an allocation conversation or a pricing one.**

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> “we are pulling forward the mass production schedule for M15X and proceeding with investments to rapidly expand production capacity following the clean room opening of the Yongin Phase 1 in early 2027.”
>
> SK Hynix Q2-26 earnings call
>
> A dated capacity milestone, from the supplier. **Early 2027 is a date to put a reopener against, rather than accept a term priced on today's balance.**

> “As this supply demand imbalance persists, customers are prioritizing procurement over price… Therefore, the favorable pricing environment is expected to continue for the time being.”
>
> SK Hynix Q1-26
>
> **“Customers are prioritizing procurement over price” is a statement about buyer behavior, not about cost.** Read next to the first quote in this profile, it describes a supplier that knows its prices are too high somewhere and expects to hold them anyway.

WHERE THE ARGUMENT IS

SK Hynix has the highest margins of the five and mid-range reinvestment, so a cost-driven increase is the hardest to sustain here. **Its own two statements sit against each other**: prices are softening demand in PC and mobile, and the pricing environment is expected to stay favorable. Ask which of the two applies to enterprise, and put the Yongin date in the contract.

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Samsung Electronics

DRAM and NAND | Ratios only — reports in KRW

Has quantified what is already committed

The one supplier that has **put a number on how much of its capacity is already spoken for**, which makes it the most useful of the five to ask structural questions of. Its margins are the mildest of the group — a 30.3% floor rather than a loss in 2023 — and group capital spending is at **14% of revenue, its lowest in the six years shown**.

FY	GROSS MARGIN	OP MARGIN	INV DAYS	CAPEX % REV
2024	38.0%	10.9%	101	17%
2025	39.4%	13.1%	95	14%
2023 TROUGH	30.3%	2.5%	104	22%

Samsung Electronics, the last two filed years, with 2023 shown for reference because it is the only evidence that the current level is a recovery rather than a norm. Reported in Korean won, so shown as ratios and days only. These are **group** figures covering businesses beyond memory, so the capital spending share is context rather than a reading of the memory division on its own.

Its own range across all 6 filed years: gross margin **30.3% (2023)** to **40.5% (2021)** · capital expenditure **14% (2025)** to **22% (2023)** of revenue.

WHAT ITS MANAGEMENT HAS SAID

> "DRAM and NAND supply volumes under multi-year supply contracts will easily account for 60%–70% of our planned capacity based on our current mid to long-term production plan."
>
> Samsung Electronics Q2-26 earnings call
>
> Samsung has quantified what is committed. **A buyer outside those contracts is negotiating over the remaining 30% to 40%, and that is the single most important number to hold before opening.**

> "To enhance the binding nature of multi-year supply commitments, we've included substantial advance payments as a contractual requirement to be maintained over the multi-year contract period. We've already received a significant portion of these payments…"
>
> Samsung Electronics Q2-26 earnings call
>
> Advance payment is stated as a requirement, not an option. **It is a working-capital cost and it belongs in the comparison whenever a prepaid allocation is set against a higher unit price without one.**

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> “despite industry-wide increases in CapEx, considering the lead time from new fab construction to actual wafer production, which exceeds three years, this means that any meaningful increase in supply capacity will take considerable time. We believe it will be unlikely to see any significant increase in incremental supply through 2028.”
>
> Samsung Electronics Q2-26 earnings call
>
> Samsung has dated its own view of when relief arrives. **It is a supplier's statement in a market where it benefits from being believed — but it is on the record, and it is the horizon any multi-year term should be judged against.**

> “In 2026, we anticipate a substantial year-on-year increase in CapEx driven by sustained demand related to AI. We'll further expand preemptive R&D investments in next generation processes and core technologies…”
>
> Samsung Electronics Q1-26 earnings call
>
> The guided increase is attributed to **AI-related demand and next-generation process work**, not to broad commodity capacity. That is the same distinction as in the Micron profile, and it is the distinction to insist on.

WHERE THE ARGUMENT IS

Samsung is the most useful of the five to ask structural questions of, because it has published the structure: 60–70% committed, prepayment required, no supply relief before 2028. **Those three statements define the shape of any deal on offer**, and the last one is a forecast from an interested party rather than a filed fact. Price the prepayment, and get the 2028 claim written as a condition rather than accepted as context.

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Kioxia Holdings

NAND | Ratios only — reports in JPY | Least committed of the five

Kioxia is at its **best gross margin in six years, 43.3%**, with capital spending at 12% of revenue against its own 40% in fiscal 2022. **Read that as a question, not a verdict** — the 2022 plant is producing now and still depreciating, so low spending today is as consistent with having already built as with harvesting. What is not ambiguous is that it is **the least locked-up of the five by its own account**, which makes it the one where volume is most available and terms least settled.

FY	GROSS MARGIN	OP MARGIN	INV DAYS	CAPEX % REV
2024	33.4%	26.5%	113	13%
2025	43.3%	37.2%	114	12%
2023 TROUGH	-12.0%	-23.5%	82	28%

Kioxia Holdings, the last two filed years, with 2023 shown for reference because it is the only evidence that the current level is a recovery rather than a norm. Reported in Japanese yen, so shown as ratios and days only.

Its own range across all 6 filed years: gross margin **-12.0% (2023)** to **43.3% (2025)** · capital expenditure **12% (2025)** to **40% (2022)** of revenue.

WHAT ITS MANAGEMENT HAS SAID

> "we plan to spend an average of JPY 470 billion annually on capital expenditures from FY 2026 to FY 2028."
>
> Kioxia Q1-26 earnings call

A flat multi-year plan at a record margin. **It does not establish that an increase is unjustified** — the depreciation from the 2022 build is still in the accounts. It does mean there is **no new programme to point at**, so a cost-driven increase here is the one most worth asking to see itemised.

> "we will have a long-term agreement that we will be signing in calendar year 2028. Most, we would say 50% of our shipment will be covered by LTA if things go well. This is what we are trying to aim for."
>
> Kioxia Q1-26 earnings call

Where Samsung is already at 60–70% committed, Kioxia is **aiming** at 50% by 2028. **Of the five, this is where uncommitted volume actually exists.**

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> "The PC market is expected to see a decrease in shipments due to rising BOM costs, leading to a slight decline in NAND demand compared to calendar year 2025."
>
> Kioxia Q1-26 earnings call
>
> The same concession SK Hynix made, from a second supplier independently. **Two of the five have said on the record that their own price increases are reducing demand somewhere.**

> "The biggest driver should be ASP up continuously from the first quarter. It is expected that ASP will continuously grow."
>
> Kioxia Q1-26 earnings call

> "We have agreed with Sandisk to extend the contract period of the joint venture (JV) at the Yokkaichi Plant by five years, from the end of 2029 to the end of 2034."
>
> Kioxia Q3 and Q4-25 earnings presentation
>
> Its largest manufacturing base is secured to 2034. **Continuity risk is not the concern with Kioxia; price discipline is.**

WHERE THE ARGUMENT IS

Availability, not cost. **Inventory near its own high, and half its shipments still uncommitted on its own 2028 target** — if any of the five is worth approaching for incremental volume on open terms, the filed record says it is this one. On price, ask for unit cost; the capital figures raise the question and cannot close it.

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Seagate Technology

Nearline hard drives · Reports in USD

Says it prices on value, not cost

The most dramatic recovery of the five and the clearest statement of scarcity. **Gross margin 45.6% against a prior six-year high of 29.7%**, operating margin 33.6% against a prior high of 16.8% — achieved on capital spending of 4.7% of revenue, inside the 2.9% to 5.6% band it has run throughout. And it has told investors in plain terms that its pricing is not cost-based.

FY	REVENUE	GROSS MARGIN	OP MARGIN	INV DAYS	CAPEX	CAPEX % REV
2024	6,551	23.4%	6.9%	90	254	3.9%
2025	9,097	35.2%	20.8%	89	265	2.9%
2026	12,195	45.6%	33.6%	86	569	4.7%
2023 TROUGH	7,384	18.3%	-4.6%	69	316	4.3%

Seagate Technology, the last three filed years, with 2023 shown for reference because it is the only evidence that the current level is a recovery rather than a norm. Dollars in millions. Fiscal year ends in June.

Its own range across all 7 filed years: gross margin **18.3% (2023)** to **45.6% (2026)** · capital expenditure **2.9% (2025)** to **5.6% (2020)** of revenue.

WHAT ITS MANAGEMENT HAS SAID

> "Our value-based pricing approach enables customers to plan with confidence while contributing to sustained profit growth for Seagate…"
>
> Seagate Q3-26 earnings call
>
> Seagate has described its own pricing as value-based rather than cost-plus. **A cost pass-through argument from Seagate is inconsistent with the way Seagate tells its own investors it prices** — which is an admission rather than an inference of ours, and it does not depend on reading anything into its capital spending.

> "the vast majority of our nearline exabytes are now allocated into calendar 2028. Importantly, we are not seeing customers pull back on planning horizons. As our strategic relationships deepen, many are actively seeking to extend planning horizons through 2029 and beyond"
>
> Seagate Q4-26 earnings call
>
> One quarter earlier Seagate described nearline as "almost fully allocated through calendar 2027". **The horizon it describes moved out by a full year between two consecutive calls — the strongest scarcity statement in this report.**

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> "We remain disciplined in securing orders from these customers prior to initiating drive production, with contracts that define both product configuration and pricing terms, covering the entirety of calendar 2027."
>
> Seagate Q4-26 earnings call
>
> Seagate does not build before it has the order and the price. **Calendar 2027 volume is priced in contracts that already exist, so the live negotiation is 2028 and beyond.**

> "We believe these actions will enable us to deliver nearline exabyte growth in the mid-20% range over the next few years."
>
> Seagate Q4-26 earnings call
>
> Output growth is guided at the same time as near-full allocation, which means **the incremental exabytes are most likely to go to customers who already hold an agreement.**

WHERE THE ARGUMENT IS

Scarcity here is real, and **Seagate has already told its investors it does not price on cost**, so a cost audit is arguing a case it has declined to make. Argue instead on what a committed multi-year planning horizon is worth to a supplier that has said it values exactly that, and accept that the window being negotiated is 2028 onward.

05 Where the stated strategy and the available terms conflict

This is the part neither filing contains. Section 02 is what NetApp has said it wants. Sections 03 and 04 are what its five suppliers have said they will offer. Read together, they do not agree in six places.

Each conflict below puts the two statements side by side and names the gap. Under them is a **viable path**, which is **our judgment and not a finding** — a recommendation does not trace back to a quoted sentence the way a figure does, so every path shows the step it was derived from and can be disagreed with on the merits. Two of the five end in a question we cannot answer from public data, and those say so rather than guessing.

NETAPP HAS SAID	ITS SUPPLIERS HAVE SAID	THE GAP
"multiple suppliers qualified… where possible"	Samsung: 60–70% of capacity committed, prepayment required. SK Hynix: ~10 LTA customers, deposits. Micron: binding SCAs.	A second source now costs a deposit too, so multi-sourcing has a price it did not have before
"minimizes capital investments" — capex 2.9% of revenue	Advance payments are "a contractual requirement to be maintained over the multi-year contract period"	Prepaid allocation is capital in all but name
"short lead times… backlog… may not be a meaningful indicator of future revenue"	Seagate allocated into calendar 2028 and seeking 2029+. Samsung: no significant incremental supply through 2028.	Asked to commit volume two to three years out on roughly a quarter of demand visibility
$1.0bn non-cancelable inventory commitments, $25m provided against excess	SK Hynix and Kioxia each report their own prices softening demand in PC and mobile	Two suppliers have described the demand risk the provision is meant to cover
$1.363bn returned to shareholders in FY2026, $1.0bn more authorized May 2026	Prepayment is a precondition of allocation at Samsung and SK Hynix	Both claims land on the same cash

The first five conflicts in one view; the sixth is set out below the table because it is about how price is set rather than about a term. Every cell on both sides is quoted or calculated in section 02 or section 04.

1. Multi-sourcing is still possible, but it is no longer free

NETAPP

"We strive to have multiple suppliers qualified to provide critical components where possible… to mitigate our supply chain risk."

Form 10-K FY2026

SAMSUNG ELECTRONICS

"we are negotiating the contractual terms, giving priority to customers willing to accept mutually binding contractual conditions and who can provide assurance about committed demand."

Q2-26 earnings call

> Qualifying a second supplier used to cost engineering time. Now each qualified supplier also wants binding volume and, at Samsung and SK Hynix, cash. **Two qualified sources means two sets of commitments covering demand that will only be filled once.**

A VIABLE PATH — OUR JUDGMENT

Keep the multi-source objective but move it from **two suppliers per component** to **one committed source plus one qualified and uncommitted source per technology**. Carry the commitment where the price of commitment is lowest, and hold the uncommitted leg wherever a supplier still has open volume.

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On the filed record, **the uncommitted leg in NAND is Kioxia.** It is targeting only 50% of shipments under long-term agreement by 2028, where Samsung is already at 60–70% of capacity committed. That is an availability argument and it stands on its own; we are not resting it on Kioxia's capital spending, which section 03 explains cannot settle a pricing question either way.

Derived from: NetApp's stated multi-source objective, plus Kioxia's own 50%-by-2028 target and Samsung's own 60–70% figure, plus the capital-spending comparison in Kioxia's profile. **What we do not know:** whether Kioxia is qualified on the parts in question, or can be. That is an engineering answer, not a filings one.

ASK THE COMMITTED SUPPLIER

If you are asking for binding volume and a deposit, you are asking us to stop dual-sourcing this part. Price that. What does the single-source version cost against the dual-source version, on the same volume?

2. Whether to prepay is arithmetic, not a judgment call

NETAPP

"This manufacturing strategy minimizes capital investments and overhead expenditures while creating flexibility for rapid expansion." Interest income of $113m on about $3.6bn of cash and short-term investments.

Form 10-K FY2026

SAMSUNG ELECTRONICS

"we've included substantial advance payments as a contractual requirement to be maintained over the multi-year contract period. We've already received a significant portion of these payments…"

Q2-26 earnings call

> An advance payment held for the life of a multi-year contract is capital tied up in a supplier's balance sheet. **That is the opposite of the asset-light model NetApp has described to its investors** — and unlike a fab, it buys no asset.

A VIABLE PATH — OUR JUDGMENT

Stop treating this as a strategic question and price it. **NetApp earns about 3% pre-tax on its cash.** So a prepayment is worth making only if the discount it secures, or the price increase it avoids, exceeds roughly 3% a year over the period the cash is held — before any allowance for the risk that the committed volume is not needed.

That single test converts "should we prepay for allocation?" into a number a supplier can be asked to beat. **Below the threshold, the asset-light objective and the economics agree and the answer is no.** Above it, prepaying is consistent with protecting gross margin, which section 02 shows NetApp names as an objective in its own right.

Derived from: two figures in NetApp's own filing — interest income of $113m and the $3.6bn cash and short-term investments balance — set against Samsung's stated prepayment requirement. **Where it is approximate:** the yield uses the closing balance, not the average through the year, and a company may reasonably use its weighted cost of capital instead of its cash yield, which would raise the threshold rather than lower it.

ASK

Price the same volume two ways — with the advance payment and without it. We will compare them on total cost including our own cost of that cash, and we will tell you the threshold the discount has to clear.

3. The commitment horizon is longer than the demand visibility

NETAPP

"Our business is characterized by… short lead times and product delivery schedules. Accordingly, backlog may vary materially quarter to quarter and at any given time may not be a meaningful indicator of future revenue."

Form 10-K FY2026, Backlog

SEAGATE

"the vast majority of our nearline exabytes are now allocated into calendar 2028… many are actively seeking to extend planning horizons through 2029 and beyond"

Q4-26 earnings call

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This is the structural conflict and it is the one worth taking to a board. **NetApp has told the market its own order book is not a meaningful indicator of future revenue, and its suppliers are asking it to commit quantities two and three years out.** Nothing in NetApp's filing supports a demand forecast of that length.

A VIABLE PATH — OUR JUDGMENT

Commit to **capacity** rather than to **quantity**. Pay to reserve a defined share of a supplier's output over the term, with the quantity drawn against it set quarterly inside a band. The supplier gets the planning visibility it says it is buying; NetApp does not sign a number it has told its own investors it cannot forecast.

The suppliers' own words suggest visibility, not volume, is what they are after. Micron says its agreements exist so that both sides "can count on" what is in them, and Samsung asks for "assurance about committed demand". **A reserved share with a quarterly draw provides that assurance. Whether any of the five will write it that way, we do not know** — nothing in their public statements says they have.

Derived from: NetApp's own backlog disclosure set against Seagate's 2028 allocation horizon and Samsung's through-2028 statement, plus Micron's and Samsung's descriptions of what their agreements are for. **What we do not know:** whether a share-of-output structure is on offer from any of them. Treat this as the position to open from, not a term we have seen agreed.

ASK

We cannot forecast quantity three years out and our own filings say so. We can commit to a share of your output across the term. Will you price a reserved share with a quarterly draw inside an agreed band, instead of a fixed quantity?

4. Two suppliers have described the risk the $25m provision is covering

NETAPP

"we had **$1.0 billion** in non-cancelable purchase commitments for inventory… We record a liability for firm, non-cancelable and unconditional purchase commitments for quantities in excess of our future demand forecasts… such liability amounted to **$25 million**."

Form 10-K FY2026, Commitments and Contingencies

SK HYNIX · KIOXIA

"demand softening have emerged… due to cost pressures stemming from higher memory prices." — "The PC market is expected to see a decrease in shipments due to rising BOM costs, leading to a slight decline in NAND demand…"

SK Hynix Q1-26 · Kioxia Q1-26

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The provision is **2.5% of the non-cancelable book**, and it is set against NetApp's own demand forecast. Two of its suppliers have independently said on the record that the current price level is reducing end demand in their own markets. **Those two facts belong in the same conversation and they are currently in two different documents.**

A VIABLE PATH — OUR JUDGMENT, AND THE LIMIT OF IT

The useful question is not whether $25m is enough. It is **at what level of demand decline the provision stops being enough**, and then whether the non-cancelable book should be shorter rather than better provided for.

We cannot answer that and will not estimate it. It needs NetApp's own demand forecast and the maturity profile of the $1.0bn, neither of which is public — the filing gives the total and the FY2027 split, not the detail. What the public record does establish is that the risk is not hypothetical, because two of the five suppliers have named it themselves.

Derived from: the $1.0bn and $25m figures as reported, plus the SK Hynix and Kioxia demand statements. **What would answer it:** the commitment maturity schedule and the demand forecast

the provision is calculated against. That is an internal exercise, and it is the right one to run before the next commitment is signed rather than after.

ASK INTERNALLY, NOT OF THE SUPPLIER

At what decline in product demand does the excess-commitment liability need to double? Run it against the maturity profile of the $1.0bn, not against the annual total.

5. Prepayment and the buyback are claims on the same cash

NETAPP

$950m of share repurchases and $413m of dividends in fiscal 2026, against $198m of property and equipment. “On May 21, 2026 our Board of Directors authorized the repurchase of an additional $1.0 billion of our common stock.”

Form 10-K FY2026, Liquidity and Capital Resources

SK HYNIX

“financial mechanisms such as deposits are incorporated to support contract fulfillment and enhance the visibility and reliability of customers' mid to long-term demand plans.”

Q2-26 earnings call

NetApp returned **$1.363bn** to shareholders in fiscal 2026 and authorized **$1.0bn** more in May 2026, against **$3.6bn** of cash and short-term investments. **A supplier deposit of any size competes with a commitment the board has already made.** That makes allocation prepayment a capital allocation decision, not a procurement one.

A VIABLE PATH — OUR JUDGMENT, AND THE LIMIT OF IT

Take the prepayment to whoever owns the buyback, with the threshold from conflict 2 attached, and **decide it once as a capital question with a ceiling** rather than deal by deal in a negotiation. A procurement team asked to agree a deposit under allocation pressure is not the right place for that decision to be made by default.

Which use of the cash is worth more, we cannot say. Comparing a prepayment discount against a share repurchase requires a view on NetApp's own share price, and that is not a question public filings answer or one we would offer a number on.

Derived from: the fiscal 2026 capital returns and the May 2026 authorization as reported, plus SK Hynix's and Samsung's stated deposit and prepayment requirements. **What we are not doing:** recommending one use of capital over the other. The finding is that they are the same pool and are currently being decided in two different rooms.

ASK INTERNALLY

What is the ceiling on supplier prepayment for the year, who approves it, and does it come out of the buyback envelope or sit beside it?

6. NetApp is asked to manage component cost against suppliers who do not price on cost

NETAPP

"our ability to maintain our gross margins, **including managing component costs**" — named as a forward-looking objective in its own right.

Form 10-K FY2026, forward-looking statements

SEAGATE · SK HYNIX

"Our **value-based pricing** approach…" — "customers are **prioritizing procurement over price**… the favorable pricing environment is expected to continue for the time being."

Seagate Q3-26 · SK Hynix Q1-26

NetApp has told the market it will manage component cost. **Two of its five suppliers have told their own markets that cost is not what sets their price.** A negotiation run as a cost audit against a supplier that prices on value and scarcity is arguing a case the other side has already declined to make.

A VIABLE PATH — OUR JUDGMENT

Put the cost question once, in the only form that can be answered, and treat the answer as the fork. **Ask for cost per bit or per module on the specific part in the quarter cited.** A supplier that supplies it has made a cost claim that can be checked. A supplier that declines has told you it is a price decision, and the negotiation should move to leverage: volume, planning horizon, prepayment, and term.

Section 03 explains why we do not run this test from public accounts ourselves. Capital spending is not cost, gross margin expands on volume absorption as readily as on price, and separating the two requires bit shipments and average selling price that are not disclosed. **The question is sound; only the supplier holds the data that answers it.**

Derived from: NetApp's own stated objective on component cost, set against Seagate's and SK Hynix's own descriptions of how they price. **What we do not know:** whether any of the five will provide unit cost. None has offered it publicly, so treat a refusal as information rather than as a failed request.

ASK

If this increase is a cost pass-through, give us cost per bit or per module for this part in the quarter you have cited, and we will check it against your filed accounts. If you would rather

not, then this is a price decision rather than a cost one — say so, and we will negotiate on what our volume and our planning horizon are worth to you.

Four of these six have a path we would act on. **Two end in a question that needs data we do not have — NetApp's own demand forecast, and unit cost that only the supplier holds — and we have said so rather than filling the gap.**

That is deliberate. A supplier picture built from public filings can tell you what to ask for and what a claim is worth. It cannot tell you what your own demand forecast will bear, and it cannot separate a cost increase from margin recovery without unit data nobody publishes. A report that pretends otherwise is worth less than one that marks the line.

06 What lands in 2027

Calendar and fiscal 2027 is the year in which NetApp's largest commitment tranche falls due, Seagate's pricing is already fixed and cannot be reopened, SK Hynix's new capacity has only just begun to open, and Samsung says relief still has not arrived.

The year of least room coincides with the year of largest cash commitment. That is the thing worth preparing for now, and it is the one place in this report where the right answer is to act before the quarter rather than after it.

Nothing in this section is our forecast. **Every row below is a dated statement made by a named party about its own plans** — the suppliers' published schedule read next to NetApp's own commitment maturity. We do not predict prices, and this is not a prediction; it is a calendar that already exists in six separate documents and has not been assembled in one place.

FY2027	NetApp	**$1.1bn of its $1.4bn of off-balance-sheet purchase commitments falls due**, the largest single-year tranche, against about $1.27bn of annual materials spend. Of the total, $1.0bn is firm, non-cancelable and unconditional. Form 10-K FY2026, Liquidity and Capital Resources; Note 16
ALREADY SET	Seagate	Contracts “define both product configuration and pricing terms, **covering the entirety of calendar 2027**”. Nearline is allocated into calendar 2028, extended from “almost fully allocated through calendar 2027” one quarter earlier. Seagate Q4-26 and Q3-26 earnings calls
EARLY 2027	SK Hynix	Capacity expansion follows “the **clean room opening of the Yongin Phase 1 in early 2027**”, with the M15X schedule pulled forward. A clean room opening is

	the start of a ramp, not the arrival of output. SK Hynix Q2-26 earnings call
FY2027 **Micron**	Capital expenditure to "step up meaningfully", with **construction-related spending up over $10bn year on year**, directed at HBM and DRAM. Against $15.9bn actually spent in FY2025, this is the one supplier whose cost case has a published programme behind it. Micron Q2-26 earnings call
LATE 2027 **Seagate**	Mozaic 5, the 5-plus terabyte-per-disk platform, is "on track for **qualification shipments in late calendar 2027**". A platform transition narrows what is available at lower capacity points while it is under way. Seagate Q4-26 earnings call
2028 **Kioxia**	A long-term agreement to be signed in **calendar 2028**, targeting 50% of shipments under agreement. Until then Kioxia is the least committed of the five, and 2027 is the window in which that is still true. Kioxia Q1-26 earnings call
THROUGH 2028 **Samsung**	"we believe it will be **unlikely to see any significant increase in incremental supply through 2028**", because fab construction to wafer production "exceeds three years". This one is a supplier's forecast rather than a filed fact, and it is marked as such wherever it appears in this report. Samsung Electronics Q2-26 earnings call

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What the calendar implies, and what it does not

Three things follow from the rows above without any assumption added.

- **2027 drive pricing is not negotiable and 2027 drive volume largely is not either.** Seagate has said both. Any effort spent on calendar 2027 nearline price is spent against contracts that already exist; the live window is 2028, and Seagate's customers are reportedly already asking for 2029.
- **The earliest dated capacity event is a clean room opening in early 2027.** On SK Hynix's own account that is when expansion begins, not when supply arrives — and Samsung puts fab-to-wafer lead time above three years. So the supply side of 2027 is, by the suppliers' own statements, no better than 2026.
- **NetApp's commitment maturity is concentrated in exactly that year.** $1.1bn due in FY2027, $1.0bn of it non-cancelable, with $25m provided against excess. The buyer's obligation peaks in the year the suppliers describe as still tight.

What does **not** follow, and is not claimed anywhere here: that prices will rise in 2027, that any supplier will miss its schedule, or that a shortage is coming. **Those are forecasts and we do not make them.** The calendar says where the room is and is not; what happens inside it depends on demand, which section 07 explains we cannot see.

The one thing worth doing before FY2027 begins

Of the six conflicts in section 05, **three have a window that closes**. Kioxia's uncommitted volume is uncommitted until its 2028 agreement. Seagate's negotiable period is 2028 onward, which means the conversation happens in 2027. And the share-of-output structure in conflict 3 has to be agreed before a quantity is signed, not after.

None of that requires a forecast. It requires acting on a calendar the suppliers have published themselves.

07 What we are withholding, and why

Our cost model splits a supplier's cost base into a fixed part and a part that moves with revenue, and reports what a volume change does to it. **We do not run it for any of these five, and that is a deliberate exclusion rather than a gap.**

The reason is in the Micron table in section 03. For a memory or drive supplier, revenue is price multiplied by volume, and the two move independently — Micron's revenue went $30.8bn, then $15.5bn, then $37.4bn in three years, with gross margin between -9.1% and 45.2%. A revenue change cannot stand in for a volume change in that data, so a model built on revenue would return a fixed-cost share that reads precisely and means nothing.

Their **filed figures** are a different matter and are used freely throughout this report. A fact and an inference get different treatment. A model that declines to answer where the data will not carry a number is worth more than one that fills the gap.

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The same rule explains two other absences. There is **no price forecast** anywhere in this report, and **no single score** per supplier — a blended rating hides which dimension moved, and one we built came out flattering for every supplier at once because it was measuring how confidently management speaks rather than the business.

What this report cannot answer, and what would answer it

Public filings establish what a supplier's position is and what its claims are worth. They do not reach inside the buyer. These four questions came up in section 05 and are marked there as unanswered:

QUESTION	WHAT WOULD ANSWER IT
At what demand decline does the $25m excess-commitment liability stop being enough?	The maturity profile of the $1.0bn non-cancelable book, and the demand forecast the provision is calculated against
Can Kioxia be the uncommitted source on the parts in question?	Current qualification status by part — an engineering answer, not a filings one
Is a prepayment better than the authorized buyback?	A view on NetApp's own share price, which is not a question we would put a number on
Is the increase on a specific letter supported by that supplier's cost position?	The letter. We check it against six filed years for that supplier and its own statements in the quarter it cites

Every one of these is answerable, but not from public data. Three of the four need one internal input each.

The last of those is the one worth sending us. It is a single document and the answer is checkable.

08 How to check every figure

Nothing here is proprietary data. It is public disclosure, read carefully and assembled from the buyer's side. Every number can be traced back.

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PART	SOURCE
Supplier annual figures	Read from six filed fiscal years each for Micron, SK Hynix, Samsung Electronics and Kioxia, and seven for Seagate whose fiscal 2026 is already filed. **The profiles in section 04 show the most recent two, plus 2023 as a reference row and the full range as one line**, so every comparison keeps its baseline without four years of history in the table. Revenue, gross profit, operating income, inventories, cost of revenue and capital expenditure, as filed.
The 2027 calendar	Section 06 contains no source of its own. Each row is a dated statement by the named party about its own plans, cited in the row, plus NetApp's commitment maturity from its own Form 10-K.
Supplier quotes	Earnings calls and earnings presentations for the quarters named beside each quote. Each quote was verified against its source document before it was stored, and a quote that failed verification is not shown.
Derived figures	Inventory days are closing inventories over cost of revenue, annualised. Capital expenditure share is capital expenditure over revenue. Gross and operating margin are over revenue. Each is stated where it is used.
Currency	Micron and Seagate report in US dollars and are shown in dollars. SK Hynix, Samsung and Kioxia report in won and yen and are shown **only** as ratios and days, so no exchange-rate assumption enters any figure in this report.
NetApp's objectives, capital position and commitments	NetApp, Inc. Form 10-K for the fiscal year ended 24 April 2026, filed with the SEC on 5 June 2026. CIK 0001002047, accession 0001193125-26-259683. Sections quoted: Manufacturing and Supply Chain, Backlog, forward-looking statements, Liquidity and Capital Resources, and Note 16 Commitments and Contingencies.
The conflicts in section 05	Not from any single source — each is one quoted NetApp statement set against one quoted supplier statement, both cited in place. The **paths** under them are our judgment, not findings, and each shows what it was derived from and where it stops.

Where each part of this report comes from. Percentages and days are our arithmetic on filed statements, and the formula is given wherever a derived figure appears.

One disclosure about our own coverage. The quotes in section 03 come from our reading of earnings calls and presentations for the quarters named. That reading is not a complete transcript archive for all five suppliers, so the absence of a quote on a given topic means we have not recorded one — never that the supplier has not addressed it. Where this report asserts something, a verified quote or a filed figure supports it.

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Semitrical · supplier picture · prepared for NetApp, Inc. · evidence to 6 November 2026 · contact@semitrical.ai

Built from public filings. First-pass analysis to support your own review — not legal, investment or professional advice. NetApp, Micron, SK Hynix, Samsung Electronics, Kioxia and Seagate are named here as the subjects of public disclosure; no relationship with or endorsement by any of them is implied.

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